Syllabus

PUNG, PERSONAL REPRESENTATIVE OF THE ESTATE OF PUNG *v.* ISABELLA COUNTY, MICHIGAN

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SIXTH CIRCUIT

No. 25–95. Argued February 25, 2026—Decided June 23, 2026

The Pung family owed $2,241.93 in real-property taxes, so local tax authorities in Isabella County, Michigan, initiated foreclosure proceedings and sold the Pung home—which was assessed at $194,400 for tax purposes—for $76,008 at public auction. Michael Pung sued in Federal court, and the District Court granted Pung partial summary judgment on his Fifth Amendment claim. The court held that Pung should receive only the surplus proceeds from the tax sale—*i. e.*, the difference between the sale price and the tax debt—not the property's fair market value. The District Court also rejected Pung's claim under the Eighth Amendment Excessive Fines Clause. The Sixth Circuit affirmed.

Held:

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1. The proper baseline for measuring "just compensation" following a tax sale is the auction sale price, not the property's hypothetical fair market value, at least when the sale is fairly conducted in light of the country's history of tax sales. Pp. 35–43.

(a) For hundreds of years, English and American law have allowed the seizure and sale of property as a tax-collection method, provided that the government return any surplus proceeds to the debtor. Federal statutes from the early days of the Republic applied this rule, as did this Court's precedents. *United States* v. *Taylor*, 104 U. S. 216; *United States* v. *Lawton*, 110 U. S. 146; *Nelson* v. *City of New York*, 352 U. S. 103; *BFP* v. *Resolution Trust Corp.*, 511 U. S. 531. Pp. 35–37.

(b) Neither history nor precedent supports Pung's contrary argument. Pung's reliance on a recent concurrence by a Justice of the Supreme Court of Michigan interpreting the State Constitution does not shed much light on the Takings Clause's meaning, see *Rafaeli, LLC* v. *Oakland County*, 505 Mich. 429, 485–522, 952 N. W. 2d 434, 466–487 (Viviano, J., concurring). Cases about the seizure of multiple pieces of property do not help him because the County sold just one parcel of Pung's real property, and Pung does not argue that the parcel could have been subdivided. Eminent-domain cases do not help him either because, even in that context, this Court has "refused to designate mar-

ket value as the sole measure of just compensation," *United States* v. *564.54 Acres of Monroe and Pike County Land*, 441 U. S. 506, 512. Fair market value is not an appropriate measure of just compensation in this context because owners can generally avoid tax sales.

Pung's fair-market-value theory would impose unprecedented burdens on jurisdictions that wish to collect unpaid taxes and might well make tax sales impractical. Under Pung's rule, a tax sale would often net the government a loss, paid out to the delinquent taxpayer himself, rendering tax sales infeasible as a debt-collection mechanism. That Pung's novel interpretation of the Takings Clause would eliminate this longstanding practice is strong evidence that his interpretation is incorrect. Pp. 38–42.

(c) The Court will not resolve any of Pung's newfound contentions that the *procedure* the County followed in seizing and selling his property was unfair. The Sixth Circuit may address on remand any such arguments properly preserved in that court. Pp. 42–43.

2. The Court rejects Pung's argument that the County violated the Eighth Amendment Excessive Fines Clause by failing to compensate him for his property's fair market value. Forfeiture of property can be a "fin[e]" for purposes of the Eighth Amendment if it serves "in part to punish." *Austin* v. *United States*, 509 U. S. 602, 610. Pung lacks precedent or historical evidence suggesting that a tax sale which is fairly conducted in light of our Nation's history would violate the Eighth Amendment. In addition, imposing Pung's fair-market-value rule under the Eighth Amendment would entail the same drastic consequences as imposing the rule under the Fifth Amendment. Pp. 43–44.

Vacated and remanded.

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ALITO, J., delivered the opinion of the Court, in which ROBERTS, C. J., and SOTOMAYOR, KAGAN, GORSUCH, KAVANAUGH, BARRETT, and JACKSON, JJ., joined, and in which THOMAS, J., joined except as to Part II–B. SOTOMAYOR, J., filed a concurring opinion, in which GORSUCH and JACKSON, JJ., joined, *post*, p. 44. THOMAS, J., filed an opinion concurring in part and concurring in the judgment, in which GORSUCH, J., joined except as to n. 1, *post*, p. 45.

Philip L. Ellison argued the cause for petitioner. With him on the briefs were *Christina M. Martin*, *Deborah J. La Fetra*, and *Lawrence G. Salzman*.

Frederick Liu argued the cause for the United States as *amicus curiae* supporting neither party. With him on the brief were *Solicitor General Sauer*, *Assistant Attorney Gen-*

eral Shumate, *Deputy Solicitor General Gannon*, *Deputy Assistant Attorney General Wu*, *Michael J. Haungs*, and *Jennifer M. Rubin.*

Matthew T. Nelson argued the cause for respondent. With him on the brief were *Ashley G. Chrysler*, *Charles R. Quigg*, *Joshua J. Reuter*, *Timothy Smith*, and *Douglas J. Curlew.**

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*Briefs of *amici curiae* urging reversal were filed for The Buckeye Institute et al. by *Jay R. Carson*, *David C. Tryon*, *Elizabeth Gaudio Milito*, *Patrick J. Moran*, *William E. Trachman*, *Mailee Smith*, and *Heather A. Cunningham*; for the Constitutional Accountability Center by *Elizabeth B. Wydra*, *Brianne J. Gorod*, and *Brian R. Frazelle*; for the Legal Services of New Jersey by *Maryann Flanigan* and *Dawn K. Miller*; for Maryland Legal Aid et al. by *Lee H. Ogburn*; for the National Association of REALTORS® et al. by *Samuel V. Lioi*; for the National Consumer Law Center by *John Rao*; for the National Taxpayers Union Foundation by *Tyler Martinez*; for the New Disabled South et al. by *Paul Koster*; for the Pioneer New England Legal Foundation by *Frank J. Bailey* and *Paul R. Johnson*; and for Joseph Donald Bourgeois by *Aram A. Gavoor*. *Samuel B. Gedge* filed a brief for the Institute for Justice as *amicus curiae* urging vacatur and remand.

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Briefs of *amici curiae* urging affirmance were filed for the State of Michigan et al. by *Ann M. Sherman*, Solicitor General of Michigan, and *Matthew Hodges* and *Emily Zillgitt*, Assistant Attorneys General, and by the Attorneys General for their respective jurisdictions as follows: *Philip J. Weiser* of Colorado, *Brian L. Schwalb* of the District of Columbia, *Anne E. Lopez* of Hawaii, *Kwame Raoul* of Illinois, *Keith Ellison* of Minnesota, *Lynn Fitch* of Mississippi, *Raúl Torrez* of New Mexico, *Marty J. Jackley* of South Dakota, *Derek Brown* of Utah, *Charity R. Clark* of Vermont, and *Nicholas W. Brown* of Washington; for Hennepin County, Minnesota et al. by *Rebecca L. S. Holschuh*; for Oakland County by *William H. Horton*; for the Local Government Legal Center et al. by *Meaghan VerGow*, *Amanda Karras*, and *Erich Eiselt*; for the Michigan Association of Counties et al. by *Theodore W. Seitz*, *Chantel L. Febus*, and *James S. Azadian*; for the National Tax Lien Association by *Andrew Kazin*, *Bruce Bronster*, and *Leonid Krechmer*; and for the Wisconsin Counties Association by *Matthew J. Thome* and *Andrew T. Phillips.*

Briefs of *amici curiae* were filed for AARP et al. by *Ali Naini*, *Louis Lopez*, and *William Alvarado Rivera*; for the Cato Institute et al. by *Ilya Somin*, *pro se* and *Daniel R. Suhr*; for the Citizen Action Defense Fund et al. by *Jackson Maynard*, *Sam Spiegelman*, *Ilya Shapiro*, and *Trevor Burrus*; for the Mackinac Center Legal Foundation by *Derk A. Wilcox*;

JUSTICE ALITO delivered the opinion of the Court.

When taxpayers fall behind on their property-tax bills, federal, state, and local governments alike have long used foreclosure and sale as a collection method. In *Tyler* v. *Hennepin County*, 598 U. S. 631 (2023), we held that the Fifth Amendment Takings Clause requires the government to return any surplus proceeds from tax foreclosure sales, *i. e.*, the difference between the sale price and the taxpayer's debt. The question presented here is whether the government must pay more when the sale price falls below the property's hypothetical fair market value. In other words, is the constitutional baseline for "just compensation" the actual tax-sale price or the price that someone would pay for the property in a hypothetical open-market transaction?

We conclude that the proper baseline under the Takings Clause is the price obtained in a tax sale, at least when the sale is fairly conducted in light of our country's history of tax sales. We also hold that, following a tax sale, the Eighth Amendment Excessive Fines Clause does not require the government to return more than the surplus proceeds. Neither the Fifth nor the Eighth Amendment requires the government to compensate former owners based on the hypothetical fair market value of their property.

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In 2010, a local tax assessor denied the Pung family a state-law tax exemption for principal residences. The Pungs took the dispute to the Michigan Tax Tribunal, where they prevailed, but that did not end the matter. They had to litigate a similar dispute in the state courts when the assessor once again denied the exemption. In this second round, the Pungs prevailed again. Yet they still owed $2,241.93 in real-property taxes. The family refused to pay,

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for the New York Association of Towns et al. by *Kathleen N. Hodgdon* and *Stephen J. Acquario*; for Beth A. Colgan, *pro se*; and for Cyrus Sanai et al. by *Frances L. Diaz.*